eastern theatres. Keeping in view India's geo-strategic location, size and stature, it is my firm conviction that the time has come for us to shed the inward-looking image, and play a bigger role with regard to peace and stability in the region. To accomplish these tasks we would need to build up capability, which could also be employed for protecting our trade routes and sea lanes of communication, safety of overseas Indians and prevention of spillover effects of conflicts in the neighbourhood, including the Indian Ocean region.

Looking at our region, I would first like to focus upon Sino-India relations. Today the two nations represent almost one-third of humanity. Barring the border war of 1962, the relations between the two Asian giants have been warm and friendly. At times there has been friction on the border issue, but the mature and statesmanlike leadership of both nations has been able to resolve the problem. A series of landmark agreements beginning with the 'maintenance of peace and tranquility along the border' agreement of 1993 and culminating in the 'strategic and cooperative partnership for peace and prosperity' agreement signed between the prime ministers of our countries in 2008, have paved the way for a peaceful resolution of the boundary and other issues. We need to resolve our problems so that both countries can focus singlehandedly on alleviating the socioeconmic conditions of our people and contribute to peace and stability of the region and the world. China has become our largest trading partner with trade worth US$61.7 billion taking place in 2010. There is tremendous scope for enhancing bilateral relations and reaching consensus on vital global issues like climate control, financial order and sustainable development. A new equation is emerging in the balance of power in the world, with the centre of gravity shifting towards Asia. The cooperation in the field of defence has also grown phenomenally consequent to the highly significant memorandum of understanding on defence cooperation signed during the defence minister, Pranab Mukherjee's visit to China in 2006. It was the first of its kind MoU between the two nations, and was given a concrete shape during my visit to China in May 2007 as the chairman of the chiefs of staff committee.